

**Time:** 4 minutes**Outcome:** Predict behavioral responses and unintended consequences created by incentives.**Difficulty:** ●○○ Beginner

Incentives



THE CORE IDEA

Incentives change the expected benefits or costs of a choice, so they can alter behavior at the margin. A congestion fee raises the cost of the next downtown trip. Incentives can be monetary or nonmonetary, and different people may respond differently. A reward can also improve a measured result while harming the underlying goal.



HOW TO RECOGNIZE IT

- A speed bonus makes workers finish faster, but quality falls.
- A new toll reduces traffic on a busy road.
- A toll is added to a crowded bridge, and some drivers switch routes.
- A school rewards high test pass rates.
- An incentive changes the payoff to a choice; it need not be monetary or guarantee a result.



WATCH OUT

A common mistake is to define incentives as cash payments or guaranteed behavior. An incentive changes the expected payoff to a choice; it may be monetary or nonmonetary, and people can respond differently.



WORKED EXAMPLE: RESPONDING TO INCENTIVES

A city adds a \$4 congestion fee for a rush-hour trip. Assume other trip costs are already deducted from each driver's benefit. A driver with a remaining benefit of \$3 avoids the trip because the fee exceeds that benefit. A commuter with a remaining benefit of \$10 still travels. The fee changes choices at the margin without making every driver respond alike.



CHECK YOURSELF

A neighborhood app awards a visible badge for weekly recycling. Participation rises among users who value recognition but barely changes for others. What is the best interpretation?

**READY?**

Return to the game and master this concept.